

Chapter 4:

Options Strategies

In the previous chapter, we talked briefly about how to select options. We discussed how to employ different strategies instead of buying a single option. That way, your position aligns better with your view. In this chapter, we will go into more detail about option strategies.

In general, option buyers have a better risk-reward ratio than option sellers. However, option sellers have a better probability of being right. In an options strategy, you can combine these two positions to improve your likelihood of profiting. The correct strategy can increase your potential gains or reduce your risk exposure.



Likelihood of Profitting Increases

Using options strategies instead of buying or selling a single option also has other advantages. It frees you from setting stop-loss. You can be more lenient in actively monitoring your trading account to make exits and entries at the opportune moment.

The required margin is higher in options strategies than in naked options trading. The latter is when a seller sells options without owning the underlying asset physically. While applying strategies, you may have to take multiple positions and sell many options. However, they provide greater flexibility and improve the probability of incurring profits.